

Law Governing Credit Practice — PREVIEW

Course: CCP — Certified Credit Professionals | **Level:** Level II

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

1. The legal nature of a credit transaction — *included in this preview*
 2. Capacity to contract for credit — full version only
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 6. Charges over land (mortgages) — full version only
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 9. Insolvency and its effect on credit — full version only
 10. Full worked question — guarantor's liability on default — full version only
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 12. Marking guide — model answers to the practice examination — full version only
 13. Exam technique and revision checklist — full version only
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1. The legal nature of a credit transaction

A **credit transaction** is, at its legal core, a contract — the lender agrees to advance money or goods now in exchange for the borrower's promise to repay (usually with interest/charges) later. Like any contract, it requires offer, acceptance, consideration, an intention to create legal relations, and capacity on both sides. What makes credit law distinctive is the additional body of rules layered on top of ordinary contract law to deal specifically with **default risk** — security, guarantees, and the remedies available if the borrower fails to pay.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB CCP paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CCP LEVEL II — LAW GOVERNING CREDIT PRACTICE (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all reasoning clearly.

QUESTION ONE

- (a) Explain the basic elements a credit agreement must have to be a valid, binding contract. (8 marks)
- (b) Explain TWO categories of persons whose capacity to contract for credit may be limited or qualified, and why. (8 marks)
- (c) Distinguish between personal security and real security. (4 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes guarantees and guarantor discharge, charges over movable property and land, hire purchase agreements, default and debt-recovery remedies, the effect of insolvency on secured vs unsecured creditors, a fully worked guarantor's-liability question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.